Question #1 of 27

Question ID: 1675667

Carol Hull, CFA, is an investment advisor whose prospective client, Frank Peters, presents special requirements. To construct an investment policy statement for Peters, Hull inquires about Peters's investment experience, risk and return objectives, and financial constraints. Peters states that he has a great deal of investment experience in the capital markets and does not wish to answer questions about his tolerance for risk or his other holdings. Under Standard III(C): Suitability, Hull:

A) is permitted to manage Peters's account without any knowledge of his risk preferences.

B) may accept Peters's account, but may only manage his portfolio to a benchmark or index.

C) must decline to enter into an advisory relationship with Peters.

Question #2 of 27

Question ID: 1675689

While servicing his clients' accounts, an analyst who is a CFA charterholder determines that one client is probably involved in illegal activities. According to Standard III(E): Preservation of Confidentiality, the analyst may not do which of the following?

A) Contact CFA Institute about the determination.

B) Contact the appropriate government authorities about the determination.

C) There are no exceptions in this list.

Question #3 of 27

Question ID: 1675685

Standard III(E): Preservation of Confidentiality applies to the information that an analyst learns from:

A) current clients and former clients only.

B) current clients and prospects only.

C) current clients, former clients, and prospects.

Question #4 of 27

Question ID: 1675683

Nancy Korthauer, CFA, has launched a new hedge fund called the Korthauer Tautology Fund and is actively soliciting clients from competitors' firms. Client presentations are necessarily brief and often take place with the prospective client's current investment advisor in the room. The Code and Standards require that:

A) the member or candidate provide (on request) additional detail information that supports the abbreviated presentation.

B) all client presentations provide a thorough review of all elements of the investment management process. Abbreviated presentations are forbidden.

C) a prospective client's current investment advisor not participate in meetings.

Question #5 of 27

Question ID: 1675668

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. One of the clients gets married, and the assets of the new spouse and the client are combined. With the larger portfolio of the now-married client, Hatfield determines that they can assume a higher level of risk and begins a change in the policy concerning that portfolio. Which of the following would violate Standard III(C): Suitability?

A) Assess the return objectives of the newly married client and his spouse.

B) Implement a similar policy for the other client who did not just get married.

C) Assess the time horizon of the newly married client and his spouse.

Question #6 of 27

Question ID: 1675682

A money manager is meeting with a prospect. She gives the client a list of stocks and says, "These are the winners I picked this past year for my clients. Their double-digit returns indicate the type of returns I can earn for you." The list includes stocks that the manager had picked for her clients, and each stock has listed with it an accurately measured return that exceeds 10%. Is this a violation of Standard III(D): Performance Presentation?

A) No, because the manager had the historical information in writing.

B) Yes, because the manager cannot reveal historical returns of recent stock picks.

C) Yes, unless the positions listed constitute a complete presentation (i.e., there were no stocks omitted that did not perform in the double digits).

Question #7 of 27

Question ID: 1675670

Kim Lee manages various accounts at Superior Investments. Some are permitted to invest in tax-exempt issues only; others may not invest in a stock unless it pays dividends. Lee is researching a biotech firm specializing in the analysis of mad cow disease. While touring company facilities and meeting with management, she learns that they believe they may have found a way to reverse the disease. Moreover, one manager conjectured, "Suppose that we reversed the disease in someone who didn't even have it? We might then be able to boost that individual's IQ into the stratosphere!" Lee returns to her office and buys shares for all accounts under her supervision. This action is:

A) appropriate given the obvious potential of the therapy.

B) a violation of the Standard concerning fiduciary duties.

C) a violation of the Standard concerning appropriateness and suitability of investment actions.

A broker was sanctioned for unsuitable recommendations and excessive trading involving three accounts under his care. These clients were unsophisticated, inexperienced individual investors with limited means.

Question #8 - 9 of 27

Question ID: 1675663

In this situation, all of the following would be components of an effective compliance process except:

A) educating clients in the basics of investment characteristics.

B) diversifying portfolios where appropriate.

C) using margin accounts.

Question #9 - 9 of 27

Question ID: 1675664

In this situation, which of the following would not be a component of an effective compliance process?

A) Examine risk tolerance carefully; risk tolerance is an important element in determining an appropriate investment policy statement.

B) Educate clients on how to select investments; this can help clients accomplish their investment policy statement goals.

C) Use concentrated portfolios consisting of only a few assets; this approach reduces trading costs.

Question #10 of 27

Question ID: 1675681

A money management firm has created a new junk bond fund. When the firm advertised the new fund at its issuance, they used care to accurately compute the returns from the past 10 years for all assets in the fund. The firm used the current portfolio weights to determine an average annual historical return equal to 18% and claim an 18% annual historical return in their advertising literature. With respect to Standard III(D): Performance Presentation, this is:

A) in compliance.

B) a violation because the advertisement implies the firm generated this return.

C) a violation because the Standard prohibits computing historical returns on risky assets like junk bonds.

Question #11 of 27

Question ID: 1675686

Greg Stiles, CFA, CAIA, is liquidating a large portion of a client's portfolio because the client is planning to buy a vacation home. Stiles informs one of his colleagues at the firm that the client is looking for a vacation home, because the colleague's wife is a licensed real estate broker. With respect to Standard III(E): Preservation of Confidentiality, this action:

A) does not violate the Standards because he did not share the information outside the firm.

B) violates the Standard unless the client has given explicit permission to disclose his plans.

C) does not violate the Standards because he did not disclose any details about the client's portfolio or other financial resources.

Question #12 of 27

Question ID: 1675687

Greg Stiles, CFA, keeps a list of his clients' birthdays and has personally sent them a birthday card each year at the appropriate time. With respect to this action, which of the following may be a violation of Standard III(E): Preservation of Confidentiality?

A) Sending a gift along with the card.

B) Hiring a company outside the firm to perform the task.

C) The mere act of sending a birthday card each year.

Question #13 of 27

Question ID: 1675688

Greg Stiles, CFA, may withhold from CFA Institute information about a client acquired in the regular performance of his duties:

A) only if Stiles has a special confidentiality agreement with the client.

B) only if Stiles is a relative of the client.

C) for neither of the reasons listed.

Chandra Patel, CFA, manages private client portfolios for QED Investment Advisers. Part of QED's firmwide policy is to adhere to CFA Institute Standards of Professional Conduct in the management of all client portfolios, and to this end, the firm requires that client objectives, investment experience, and financial limitations be clearly established at the outset of the relationship. This information is updated at regular intervals not to exceed eighteen months. The information is maintained in a written investment policy statement for each client.

Anarudh Singh has been one of Patel's clients ever since she began managing money 10 years ago. Shortly after his regular situational update, Singh calls to inform Patel that his uncle is ill, and it is not known how long the uncle will survive. Singh expects to inherit "a

sizable sum of money," mainly in the form of municipal bonds. His existing portfolio allocation guidelines are for 75% to be invested in bonds. Singh believes that the expected inheritance will allow him to assume a more aggressive investment profile and asks Patel to begin moving toward a 75% allocation to equities. He is specifically interested in opening sizable positions in several technology firms, some of which have only recently become publicly traded companies. Patel agrees to begin making the changes to the portfolio and the next day begins selling bonds from the portfolio and purchasing stocks in the technology sector as well as in other sectors. After placing the trade orders, Patel sends Singh an email to request that he come to her office sometime during the next week to update his investment policy statement. Singh replies to Patel, saying that he can meet with her next Friday.

A few days before the meeting, however, Singh's uncle dies and the portfolio of municipal bonds is transferred to Singh's account with QED. Patel sees this as an opportunity to purchase more technology stocks for the portfolio and suggests taking such action during her meeting with Singh, who agrees. Patel reviews her files on technology companies and locates a report on NetWin. The analyst's recommendation is that this stock is a "core holding" in the technology sector. Patel decides to purchase the stock for Singh's account, as well as several other wealthy client accounts with high risk tolerance levels, but due to time constraints she does not review the holdings in each account. Patel does examine the aggregate holdings of the accounts to determine the approximate weight that NetWin should represent in each portfolio.

Since Patel has very recently passed the Level III examination leading to the award of the CFA designation, QED sends a promotional email to all of the firm's clients. The email states "QED is proud to announce that Chandra Patel is now a CFA (Chartered Financial Analyst). This distinction, which is the culmination of many years of work and study, is further evidence of the superior performance you've come to expect at QED." Patel also places phone calls to inform of her accomplishments several brokers that she uses to place trades for her accounts, stating that she "passed all three CFA examinations on the first attempt." One of the people Patel contacts is Max Spellman, a long-time friend and broker with TradeRight Brokers Inc. Patel uses the opportunity to discuss her exclusive trading agreement with TradeRight for Singh's account.

When ordering trades for Singh's account, Patel's agreement with TradeRight for brokerage services requires her to first offer the trade to TradeRight and then to another broker if TradeRight declines to take the trade. TradeRight never refuses the trades from any manager's clients. Patel established the relationship with TradeRight because Singh, knowing the firm's fee schedule relative to other brokers, asked her to do so. However, because TradeRight is very expensive and offers only moderate quality of execution, Patel is

considering directing trades on Singh's account to BullBroker, which charges lower commissions and generally completes trades sooner than TradeRight.

Question #14 - 19 of 27

Question ID: 1675673

Do QED's policies comply with CFA Institute Standards of Professional Conduct with respect to the information contained within the client investment policy statements and the frequency with which the information is updated?

	Information	Frequency
A)	Yes	No
B)	No	No
C)	No	Yes

Question #15 - 19 of 27

Question ID: 1675674

In light of Singh's comments during his telephone call to Patel prior to his uncle's death, which of the following actions that Patel can take comply with CFA Institute Standards of Professional Conduct?

A) Patel may change the current portfolio strategy and begin trading based upon Singh's expectations because he advised her to do so.

B) Patel must not place any trades in the account until she meets with Singh to develop a new portfolio strategy based on the updated information.

C) Patel must adhere to the existing portfolio strategy until she meets with Singh to develop a new portfolio strategy based upon updated financial information but may place trades which are consistent with the existing strategy.

Question #16 - 19 of 27

Question ID: 1675675

According to CFA Institute Standards of Professional Conduct, may Patel reallocate Singh's portfolio toward technology stocks after his Uncle dies but before the meeting with Singh?

A) No, because Patel and Singh must meet and revise the investment policy statement and portfolio strategy before reallocating.

B) Yes, because the total value of the municipal bonds received into the account will be too large relative to the other assets in the portfolio.

C) No, because Patel must wait until the next annual meeting to reallocate.

Question #17 - 19 of 27

Question ID: 1675676

Did Patel violate any CFA Institute Standards of Professional Conduct when she purchased the NetWin stock for Singh's portfolio or for the other clients' portfolios?

	Singh's portfolio	Other portfolios
A)	Yes	Yes
B)	No	No
C)	No	Yes

Question #18 - 19 of 27

Question ID: 1675677

Which of the following is *least accurate* regarding the promotional announcement of Patel passing the Level III exam?

A) The announcement violates the Code of Ethics because it implies that obtaining a CFA charter leads to superior performance.

B) The fact that a promotional announcement was made violates the restrictions on misrepresenting the meaning of the CFA designation.

C) The promotional announcement uses the letters “CFA” as a noun which is prohibited by CFA Institute.

Question #19 - 19 of 27

Question ID: 1675678

With respect to the choice of broker, did Patel violate any CFA Institute Standards of Professional Conduct?

A) No.

B) Yes, since Patel failed to properly notify Singh that using TradeRight would lead to higher commissions and opportunity costs.

C) Yes, since Patel is obligated to seek the best possible price and execution for all clients.

Question #20 of 27

Question ID: 1675669

An analyst thinks that a major change in the tax law will benefit holders of utility company stocks. She immediately begins calling all her clients and telling them of the upside potential of investing in such assets now. Based upon this information, this is *most likely*:

A) a violation of Standard III(C): Suitability.

B) a violation of Standard V(A): Diligence and Reasonable Basis.

C) congruent with Standard V(A): Diligence and Reasonable Basis.

Question #21 of 27

Question ID: 1675684

While servicing his clients' accounts, an analyst who is a CFA charterholder determines that one client is probably involved in illegal activities. According to Standard III(E): Preservation of Confidentiality, the analyst may not do which of the following?

A) Contact both CFA Institute and government authorities.

B) There are no exceptions in this list.

C) Contact CFA Institute about the determination.

Question #22 of 27

Question ID: 1675680

While it would be customary to report both 5-year and 10-year performance data, Seminole Equity Partners has been in existence for only eight years. Because of this, Kurt Dambach does not report 10-year data, but he reports for both five years and since the inception of the fund. He notes this in a footnote at the bottom of the information sheet. This action is:

A) a violation of the Standard concerning performance presentation.

B) a violation of the Standard concerning prohibition against misrepresentation.

C) in accordance with the Code and Standards because he has indicated the basis in a footnote.

Question #23 of 27

Question ID: 1675665

Stephen Rangen, a broker, has three accounts consisting of unsophisticated, inexperienced individual investors with limited means. One of these accounts is an elderly couple. The clients want to invest in safe, income-producing investments. They rely heavily on Rangen's advice and expect him to initiate most transactions in their respective accounts. In managing their accounts, Rangen pursues the following strategies: (1) he buys U.S. Treasury STRIPS and non-dividend-paying over-the-counter (OTC) stocks recommended by his firm's research department, (2) uses margin accounts, and (3) concentrates the equity portion of their portfolio in one or two stocks. Rangen's approach leads to extremely high turnover rates in all three accounts.

Which of the following statements about Rangen's conduct is *most accurate*? Rangen's conduct:

A) meets the requirements of the Code and Standards because his clients are aware of the risks that he is taking in managing their accounts.

B) meets the requirements of the Code and Standards because his firm's research department recommended the U.S. Treasury STRIPS and non-dividend-paying stocks.

C) does not meet the requirements of the Code and Standards because his investment strategy is inconsistent with his clients' objectives.

Question #24 of 27

Question ID: 1675671

According to Standard III(C): Suitability, which of the following is *least likely* to be considered a relevant factor in determining the appropriateness and suitability of investment recommendations or actions for each portfolio or client?

A) Basic characteristics of the total portfolio.

B) Best interests of the investment professional.

C) Needs and circumstances of the portfolio or client.

Question #25 of 27

Question ID: 1675679

Lance Tuipulotu, CFA, manages investments for 400 individuals and families and often finds his resources stretched. When his largest investors petition him to include a 5%–7% allocation of non-investment-grade bonds in their portfolios, he decides he needs additional help to meet the request. He considers various independent advisors to use as submanagers, but he determines that the most qualified advisors would be too expensive. Reasoning that a lower-cost provider would enable him to pass the savings along to his clients, he chooses that provider to invest the new bond allocation. Tuipulotu has violated:

A) Standard III(C): Suitability by failing to consider the appropriateness of the non-investment-grade bonds.

B) both Standard III(C): Suitability and Standard V(A): Diligence and Reasonable Basis.

C) Standard V(A): Diligence and Reasonable Basis by letting fee structure determine the selection of the submanager.

Question #26 of 27

Question ID: 1675666

The O'Douls (husband and wife) have decided to work with Jane Mack, CFA, to have her recommend an investment portfolio for them. The O'Douls are novice investors, and Mack has determined that their asset allocation model falls into the conservative category. After researching various investment options for the O'Douls, Mack has made a recommendation that they divide their account on a 25%/75% basis between shares of a computer peripherals manufacturing company that her brokerage firm is underwriting and investment-grade corporate bonds. The O'Douls are not aware that Mack's firm is underwriting an offering of the company in question. Which CFA Institute Standard(s) has Mack violated, given her actions?

A) Standard VI(A): Disclosure of Conflicts and III(C): Suitability.

B) Standard III(B): Fair Dealing and III(A): Loyalty, Prudence, and Care.

C) Standard V(A): Diligence and Reasonable Basis and I(D): Misconduct.

Question #27 of 27

Question ID: 1675690

A candidate or member is *least likely* violating the Standard regarding the confidentiality of client information if he shares confidential client information, when not required by law, with the:

A) co-owner of the client's account.

B) CFA Institute Professional Conduct Program.

C) client's attorney.